



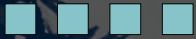
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New Work, Data and Inclusion in the Digital Economy:
A Middle East and North Africa (MENA) Perspective



PRECARIOUS FREELANCING: LEBANON'S GRIM FUTURE OF WORK



THE PERILS OF DIGITAL WORK IN LEBANON: LESSONS FROM TAXI AND DELIVERY WORKERS

Policy Brief

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The digitization of labor markets, fueled by technological innovation and accelerated after the COVID-19 pandemic, has left no corner of the world untouched. This transformation has made new non-standard forms of work prevalent. As of 2023, digital work constitutes as much as 13 percent of the global workforce.¹ Revered for its scalable economic opportunities and integration of marginalized segments of society into the labor force, digital labor arrangements are still far from providing decent work. Indeed, one form of digital work — defined as labor-mediated by location-specific platforms — is known for trapping workers in precarity under the veil of self-employment.²

In Lebanon's economy, digital labor platforms in the taxi and food delivery sectors found fertile grounds to attract a vulnerable workforce reeling from a series of shocks since 2019 that shrank the economy by almost 70 percent and pushed the unemployment rate to 33 percent.³ While the size of the digital economy in the country has yet to be determined, such economic conditions have rendered individuals susceptible to poor working arrangements found in platform-based work where labor

regulations are not enforced and social protection is missing.⁴ The effects of this on the labor market can already be seen, with informality rising from 55 percent in 2019 to 62 percent in 2022, and most of the employment in the informal (83 percent) and formal (62 percent) sectors being low-skilled.⁵

Research conducted by the Policy Initiative sheds light on the characteristics of the growing landscape of digital work in Lebanon.⁶ Based on a survey with 50 platform workers (16 in the delivery sector and 34 in the taxi sector), the policy paper focuses on how workers joined and coped with digital work in a tumultuous economy. The takeaways below highlight the dangerous structural and crisis-induced features of platform work, which merit policy corrections and law enforcement from the state to foster a digital economy that can create decent jobs as Lebanon navigates economic recovery.

1 "Working Without Borders: The Promise and Peril of Online Gig Work," World Bank Group, 2023, <https://www.worldbank.org/en/topic/jobsanddevelopment/publication/online-gig-work-enabled-by-digital-platforms>

2 "The Platform Economy and Precarious Work," European Parliament, 2020, [https://www.europarl.europa.eu/RegData/etudes/STUD/2020/652734/IPOL_STU\(2020\)652734_EN.pdf](https://www.europarl.europa.eu/RegData/etudes/STUD/2020/652734/IPOL_STU(2020)652734_EN.pdf)

3 "Lebanon Follow-up Labor Force Survey," Central Administration of Statistics and International Labor, 2022, and "Lebanon Article IV Report," International Monetary Fund, 2023, and Wassim Maktabi et al., "Blurred Lines: Lebanon's Mutating Workforce," The Policy Initiative, 2024.

4 Wassim Maktabi et al., "Lebanon's Missing Middle: Online delivery workers under precarious conditions," The Policy Initiative, 2022, and Wassim Maktabi et al., "Fairwork Lebanon Ratings 2023: Platform Work in Times of Crisis," The Policy Initiative, 2023, <https://www.thepolicyinitiative.org/article/details/329/platform-work-in-times-of-crisis-fairwork-lebanon-ratings-2023>

5 Ibid.

6 Wassim Maktabi et al., "Perils of Digital Work in Lebanon: Lessons from Taxi and Delivery Workers," The Policy Initiative.



On average, digital workers spend 53 hours per week on their corresponding platforms, five hours more than is standard in traditional employment

The platform economy in Lebanon is almost exclusively for men

Even as an income-generating opportunity for marginalized groups,⁷ the platform economy reproduces the same occupational segregation and wage gaps across genders observed in traditional work.⁸ In developed and developing economies, delivery and ride-hailing work are oriented toward men,⁹ and the gender composition of the interviewed workers indicates that Lebanon's digital labor market is predominantly male (49 men, 1 woman). And while Toters — a food delivery platform — launched a social media campaign to recruit Lebanese women to the delivery sector, the results have yet to be observed by daily users of the platform. Further, no women were part of the 16-person sample of delivery workers. With only one woman interviewed—in the digital taxi sector — the digital labor participation rate for women seems even worse than their marginal share in the official 2022 labor force composition (22 percent compared to 66 percent for men).¹⁰

7 Alex J. Wood et al., "Good Gig, Bad Gig: Autonomy and Algorithmic Control in the Global Gig Economy," *Work, Employment, and Society* 33, no. 1, 2018, and Cosmin Popan et al., "The intersectional precarity of platform cycle delivery workers," *Open Science Framework*, 2021.

8 Mayo Fuster Morell, "The gender of the platform economy," *Internet Interdisciplinary Institute*, 2022.

9 "What percentage of delivery drivers are female," Zippia, 2022, <https://www.zippia.com/answers/what-percentage-of-delivery-drivers-are-female/>

10 "Lebanon Follow-up Labor Force Survey," Central Administration of Statistics and International Labor Organization, 2022.

Digital delivery platforms in Lebanon exert excessively high control over workers

By observing the set up of many delivery workers in Lebanon, it is clear that platforms exercise a great deal of control over labor conditions, which contradicts the freelancing arrangement workers sign or verbally consent to. Control takes different forms but is widespread in the sector, with 88 percent of delivery workers stating that they must wear a designated uniform, 75 percent saying they always must have their locations shared, and 63 percent say they must answer work-related calls during online presence (online presence means being listed as available to work) and cannot reject a task they were assigned to do. These labor conditions exemplify a "relationship of subordination" at work, which is a determining factor in an employment relationship according to the Labor Arbitration Council and the Income Tax Legislative Decree.¹¹

Digital taxi and delivery drivers work long hours for inadequate wages

On average, digital workers spend 53 hours per week on their corresponding platforms, five hours more than is standard in traditional employment. For delivery workers, working hours are spent solely on one platform, and the average income is US\$390 per month, before deducting work-related costs. In the digital taxi sector, the average income for drivers in September 2023 was US\$935, before work-related costs, with some claiming that it could reach as high as US\$2,500 during tourist seasons. Moreover, 76 percent of interviewed taxi drivers distribute their working hours between different ride-hailing platforms and private cab services to maximize their earnings per hour spent driving.

The digital ride-hailing sector provides illegal services that reinforce tensions among taxi workers

The lack of law enforcement in Lebanon's taxi sector is not new, but the infringements by some digital platforms are triggering tensions between platform and traditional drivers,¹² as well as licensed

11 تعميم رقم 2539 ص1. 2002. "تحدد أصول تطبيق أحكام الباب الثاني من المرسوم الاشتراعي رقم 144 تاريخ 12/6/1959 وتعديلاته (قانون ضريبة الدخل) المتعلقة بتحديد العلاقة التعاقدية بين الأجير وصاحب العمل."

12 "Service drivers vs Bolt: Rivalry and informal employment | النمر الحمراء ضد بولت," *Megaphone*, 2021.

and unlicensed ones.¹³ Drivers must purchase or rent a red license plate at elevated prices and often without the social benefits that come with entering the taxi sector,¹⁴ as the state suspended the issuance of permits in the 1990s. With the economic crisis rendering livelihoods precarious, however, the digital taxi sector witnessed an influx of vulnerable workers who view it as a means of subsistence.¹⁵ This was exploited by two digital taxi platforms, which recruited unlicensed workers to provide transportation services either via motorcycles or non-licensed vehicles. Following disputes between licensed and unlicensed drivers and legal complaints from unionized drivers, the Ministry of Interior and Municipalities suspended the first platform from operating in the Lebanese market in September 2023. The second taxi platform, which is the newest to enter the market, is still violating Lebanon's traffic law and offering motorcycle transportation services at the time of writing (January 2024). Based on interviews with workers, some are taking matters into their own hands and tampering with the second platform by ordering and rejecting motorcycle services until the state intervenes to enforce regulations.

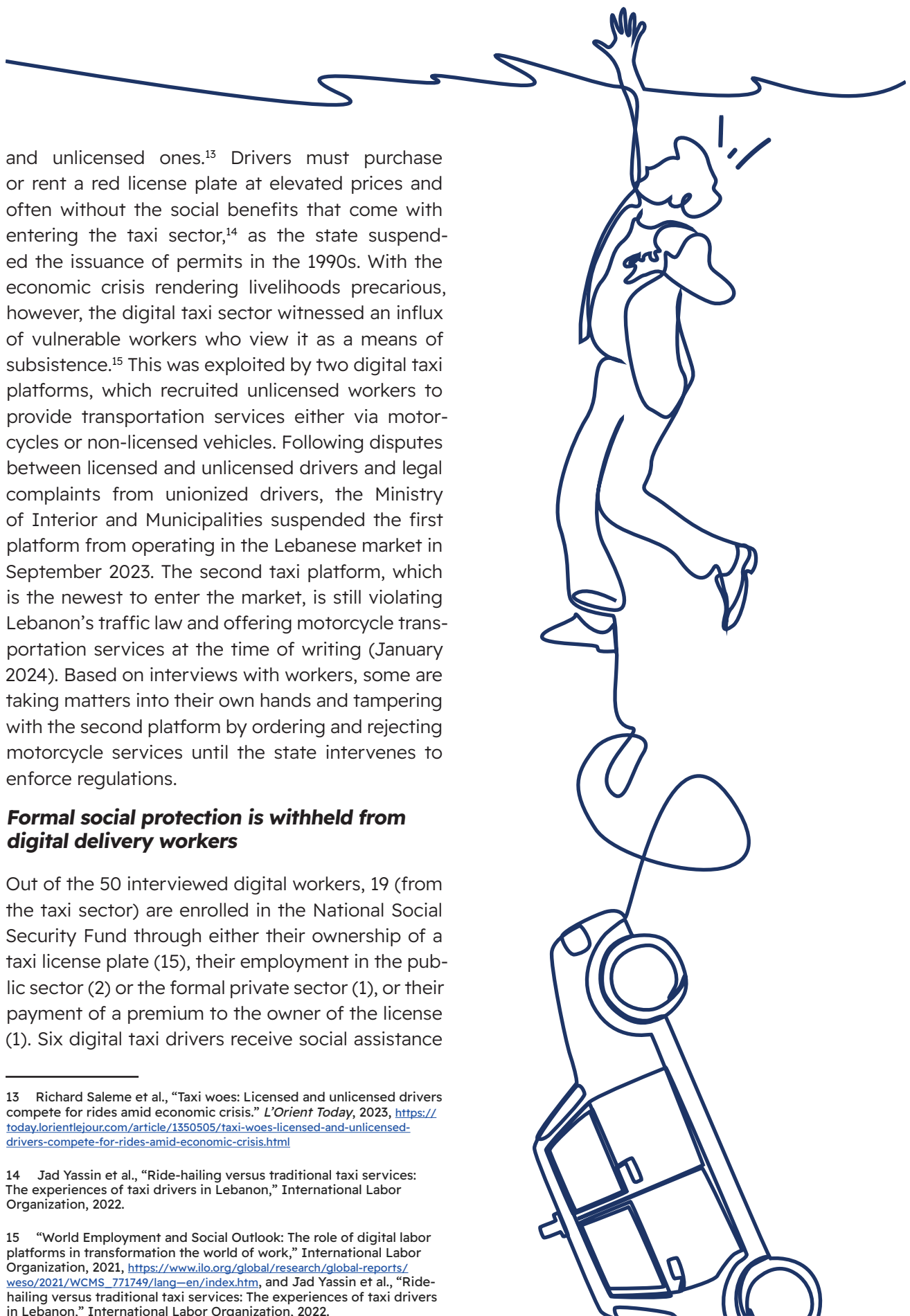
Formal social protection is withheld from digital delivery workers

Out of the 50 interviewed digital workers, 19 (from the taxi sector) are enrolled in the National Social Security Fund through either their ownership of a taxi license plate (15), their employment in the public sector (2) or the formal private sector (1), or their payment of a premium to the owner of the license (1). Six digital taxi drivers receive social assistance

13 Richard Saleme et al., "Taxi woes: Licensed and unlicensed drivers compete for rides amid economic crisis." *L'Orient Today*, 2023, <https://today.lorienttoday.com/article/1350505/taxi-woes-licensed-and-unlicensed-drivers-compete-for-rides-amid-economic-crisis.html>

14 Jad Yassin et al., "Ride-hailing versus traditional taxi services: The experiences of taxi drivers in Lebanon," International Labor Organization, 2022.

15 "World Employment and Social Outlook: The role of digital labor platforms in transformation the world of work," International Labor Organization, 2021, https://www.ilo.org/global/research/global-reports/weso/2021/WCMS_771749/lang-en/index.htm, and Jad Yassin et al., "Ride-hailing versus traditional taxi services: The experiences of taxi drivers in Lebanon," International Labor Organization, 2022.



from the Emergency Social Safety Net, financed by the World Bank and implemented by the Lebanese government (3) and the National Poverty Targeting Program (3), and four digital delivery workers (non-Lebanese) benefit from UN provisions.

Digital workers resort to dangerous coping mechanisms for subsistence

In coping with the crisis, digital workers who participated in the survey work regardless of climate conditions (78 percent) and forgo spending on health and nutrition (50 percent). Workers refrain from rationing spending on vehicle maintenance, given that their car or motorcycle represents their main income-generating asset.

Platform work has taken a toll on workers' mental health

Poor psychological wellbeing was pervasive among the respondents to the survey, with almost 50 percent of workers surveyed in the taxi and food delivery sectors saying that they often feel stressed and hopeless due to their working conditions. Workers in the digital taxi sector said they feel fatigued (62 percent) at a higher incidence than workers in the delivery sector (31 percent). Across nationalities, non-Lebanese workers who responded to the survey say they have a bleaker outlook for the future than Lebanese workers, as 60 percent say they have a sense of hopelessness for the future, compared to 42 percent of Lebanese workers.

Recommendations: Where to start?

Lebanon's digital economy has the potential to offer decent work opportunities for marginalized groups, but, as it stands, the outlook on the future of work is grim. The road to realizing the sector's promise is complex and requires the Lebanese state to adopt a mission-driven and comprehensive approach to enforce regulations and broaden social protection measures.

A pivotal first step is determining the composition of the digital economy sector and distinguishing its workers from traditional liberal professions — in Lebanon, used to refer to doctors and lawyers — whose workers are classified as freelancers. Champions for this proposal can already be found in Lebanon's crisis-stricken public administration in the

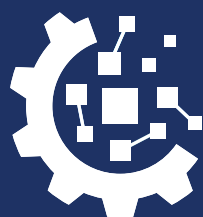
Central Administration of Statistics, which is in dire need of financial and human resources.

Second, the Labor Arbitration Council should enforce labor standards and provide legal protection to workers in platform-based work by reviewing labor conditions and contractual agreements between workers and platforms.

And third, social protection system should be reformed in accordance with the legislation and prescriptions outlined in the National Social Protection Strategy¹⁶ toward a system of universal coverage capable of shielding Lebanon's growing missing middle, those not registered in social security as they do not have formal employment and yet not poor enough to receive social assistance.¹⁷ In the absence of sufficient political capital from the government and parliament, such proposals risk being shelved. But whether political authorities like it or not, digital work is proliferating and reshaping the future of employment. And if Lebanon is to capitalize on the potential of the platform economy, the state ought to situate itself as the key market regulator, enforcer of rules on platforms and protector of workers' rights.

¹⁶ Wassim Maktabi et al., "Intentions are not enough: Lebanon must adopt the National Social Protection Strategy," The Policy Initiative, 2022.

¹⁷ Wassim Maktabi et al., "Lebanon's Missing Middle: Online delivery workers under precarious conditions," The Policy Initiative, 2022.



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